

ANALYSIS AND VALUATION

HIGHEST AND BEST USE ANALYSIS

“Highest and Best Use” is defined in The Appraisal of Real Estate, 12th Edition, published by the Appraisal Institute, as follows:

The reasonably probable and legal use of vacant land or an improved property that is physically possible, appropriately supported and financially feasible and that results in highest value.

It is to be recognized that, in cases where a site has existing improvements on it, the highest and best use may be determined to be different from the existing use. The existing use will continue, however, unless and until land in its highest and best use exceeds the total value of the property in its existing use. Implied within the definition is recognition of the contribution of that specific use to community environment or the community development goals in addition to wealth maximization of individual property owners.

In estimating Highest and Best Use of a property, the above stages can be summarized as follows:

1. Physically Possible Use. What uses of the site in question are physically possible? This can also be referred to as “adaptability.”
2. Legally Permissible Use. What uses are permitted by zoning and deed restrictions. This can also be referred to as “availability.”
3. Financially Feasible Use. Which possible and permissible uses will produce a net return to the owner of the site?
4. Maximally Productive or Highest and Best Use. Among the feasible uses, which use will produce the highest net return or present worth?

The highest and best use of the subject is analyzed by these criteria, first as if vacant and then as is.

HIGHEST AND BEST USE “AS THOUGH VACANT”

Physically Possible Use (Adaptability):

In analyzing the physical features, which affect the uses to which the land may be developed, the following items were considered:

- *The tract is adequate in size and shape for BG uses and is conducive to development of typical land to building ratios.*
- *The topographical features of the property are relatively mild and conducive to most reasonable uses. The property appears to exhibit adequate drainage capabilities.*
- *The site contains excellent frontage on Arnould Boulevard. Ingress and egress in this regard from Johnston Street is considered to be good. Visual and traffic exposure is excellent.*
- *The property is well located in terms of convenience to area thoroughfares and amenities.*
- *All public utilities and services found in the immediate area are currently available to the property. This includes municipal electricity, water and sewerage.*

In summary, from a physical standpoint the property is well suited for many uses and has no handicaps with regard to terrain or other physical features that would impair its use in this regard.

Legally Permissible Uses (Availability):

In analysis of the legally permissible uses of the property, consideration was given to possible limitations imposed by zoning and other city ordinances, private restrictions, building codes and environmental regulations. The subject was analyzed in these regards as follows:

- *The property is located within the corporate limits of Lafayette, Louisiana, and is zoned BG, General Business District allowing for multiple uses. This is consistent with general trends in the neighborhood.*
- *Zoning changes are highly unlikely. In addition, significant changes in the current trend of uses within the subject-zoning category are unlikely.*
- *No other city or parish restrictions were noted that would limit reasonable BG uses of the property.*

In summary, from a legal standpoint, no items other than the ones noted above were disclosed that would prohibit reasonable BG, General Business uses of the property.

Financially Feasible / Maximally Productive Use:

In order for a development of properties to be financially feasible, the properties must produce a return greater than needed to satisfy expenses and amortization, or in the owner/user case, it must be feasible from a substitution standpoint. The subject was analyzed in this regard as follows:

- *The subject is zoned BG, which would allow for an array of residential and commercial uses.*
- *The strong growth of Lafayette has spurred new development of many commercial and residential properties.*

In summary, the most productive use of the site would be for a commercial use that could exploit the location.

HIGHEST AND BEST USE “AS IS”

Physically Possible Uses (Adaptability)

In analyzing the physical features of the property as it is, the following items were considered:

- *The subject improvements consist of a neighborhood retail center and site improvements, all of average to good quality construction.*
- *The subject improvements have an effective age of 20 years from a condition standpoint and have a remaining economic life of 20 years.*
- *The buildings are well designed and conform to retail building use.*
- *Overall, the nature, quality and condition of the improvements are compatible with the district.*

In summary, from a physical standpoint, the property, as is, is well suited for use as neighborhood retail center and site.

Legally Permissible Uses (Availability)

In analysis of the legally permissible uses of the property when improved, consideration was given to possible limitations imposed by zoning and other ordinances, private restrictions, building codes and environmental regulations. The subject was analyzed in these regards as follows:

- *The existing improvements appear to conform to ordinance requirements in terms of use, set backs, etc., and are assumed to be in compliance with applicable building codes.*

In summary, from a legal standpoint, no items other than the ones noted above were disclosed that would prohibit reasonable use as neighborhood retail center and site.

Financially Feasible Uses

In analyzing the uses of the subject improvements as is from the standpoint of financial feasibility, consideration was given to the opportunities and limitation provided by the local market, the subject location, and the subject's physical features. The pertinent factors in this regard are as follows:

- *Based on surveys of historical data, improved properties of this type have a typical economic life of 40 years. The subject has an effective age of 20 years. Therefore, the remaining economic life is estimated to be 20 years.*
- *The subject is situated on a good quality street, and the location is considered to be good in terms of exposure, accessibility and proximity to area amenities.*

Based on these factors, the current combination of land and existing improvements for retail use represents a financially feasible use of the property.

Maximally Productive or Highest and Best Use

Among the financially feasible uses, the use that provides the highest rate of return or value given a constant rate of return is considered to be the highest and best use. Based on the previous discussions of physical, legal and financial factors, the subject is feasible as neighborhood retail center and site.

In summary, the property is improved with a neighborhood retail center. As a test of highest and best use, the value of the subject property as improved, based on the approaches outlined later herein, was compared to the value of the land as if vacant. In each instance, the value of the property as improved far exceeded the value of the raw land. This conclusion, in light of the above analysis as if vacant, indicates that the highest and best use of the property is represented by the combination of land and existing improvements.

Within the process of estimating the highest and best use of the subject property, the question occurs as to which specific use would result in the highest overall value. There is currently no over abundance of facilities similar to the subject that would preclude this as a viable use of the property as improved.

THE APPRAISAL PROCESS

Traditionally, three approaches are used to arrive at an estimate of market value of the fee simple interest. These approaches are the Cost, Sales Comparison, and Income Approaches. Ideally, each approach when properly employed, provides an accurate indication of value; but, due to unique characteristics of various types of properties, one or more of the approaches may be inappropriate or inapplicable in arriving at an estimate of value.

COST APPROACH:

The cost approach is based on the principle of substitution: that no prudent person would pay more for a property than the cost to acquire a similar site and construct a building of equal desirability and utility, assuming no undue or costly delay. The procedure involves first, estimating the value of the site as if vacant. Anticipated costs necessary to reconstruct all improvements are then estimated, predicated upon labor and material prices prevailing on the appraisal date. From this construction cost estimate, deductions are made for accrued depreciation caused by physical deterioration and functional and economic obsolescence. This depreciated cost figure is added to the estimated value of the site, resulting in the indication of value by the cost approach.

The cost approach is most accurate when applied to a relatively new structure with no functional deficiencies, and which represents highest and best use of the site. A negative feature is that depreciation estimates are difficult to precisely measure from market data, so that the indication of value may largely depend on the experience, judgment, and ability of the appraiser.

SALES COMPARISON APPROACH:

The Sales Comparison approach is also based on the principle of substitution: that a prudent person would pay no more for a property than what it would cost to acquire another property of similar desirability or utility. The process involves the collecting, analyzing, and comparing of sales, listings, and offers for properties similar to the property under appraisal. After the most comparable transactions are identified, adjustments are made for such variables as changes in market conditions since date of sale, location, size, physical characteristics, and terms of sale.

Advantages of the Sales Comparison approach are that it permits direct comparison of the property under appraisal to factual market transactions involving similar properties, and that it is probably the approach most easily understood. Limitations of the Sales Comparison approach are that no two properties are identical, and dissimilarities between the comparable properties and the subject may relate to intangible qualities, which are difficult to measure. Application of this approach may be limited by lack of data for specific types of properties.

INCOME CAPITALIZATION APPROACH:

The income approach is based on the principle of anticipation; that value of a property may be measured by the present worth of anticipated future benefits accruing to the ownership and use of the property. The procedure involves estimating gross income the property is capable of producing, then deducting vacancy/collection losses and expenses, which might be incurred in the operation. Resultant net income, as estimated by the appraisers, is converted to an indication of value through various means of capitalization or discounting.

The income approach is most accurate in valuation of income producing properties. If sufficient sales of tenant-occupied investor-owned comparables may be located, the income approach can provide a highly accurate value indication. The approach, however, has limited application for non-income producing properties, such as vacant land. All capitalization or discounting methods are based on a concept of time preference, which holds that future incomes or benefits are worth less than the same income or benefits received now, and that they decrease systematically as the time for receipt is deferred into the future.

RECONCILIATION AND FINAL VALUE ESTIMATE:

The final step in the valuation process is reconciliation of value estimates indicated by the approaches outlined above, weighing each according to their relative importance, based on market appropriateness and availability and reliability of data. Dependent on type of property and purpose of appraisal, one or all of the approaches may be considered reliable. In the case at hand, we will utilize all three valuation approaches. The result of this final reconciliation of values is the estimate of value as defined in the report.

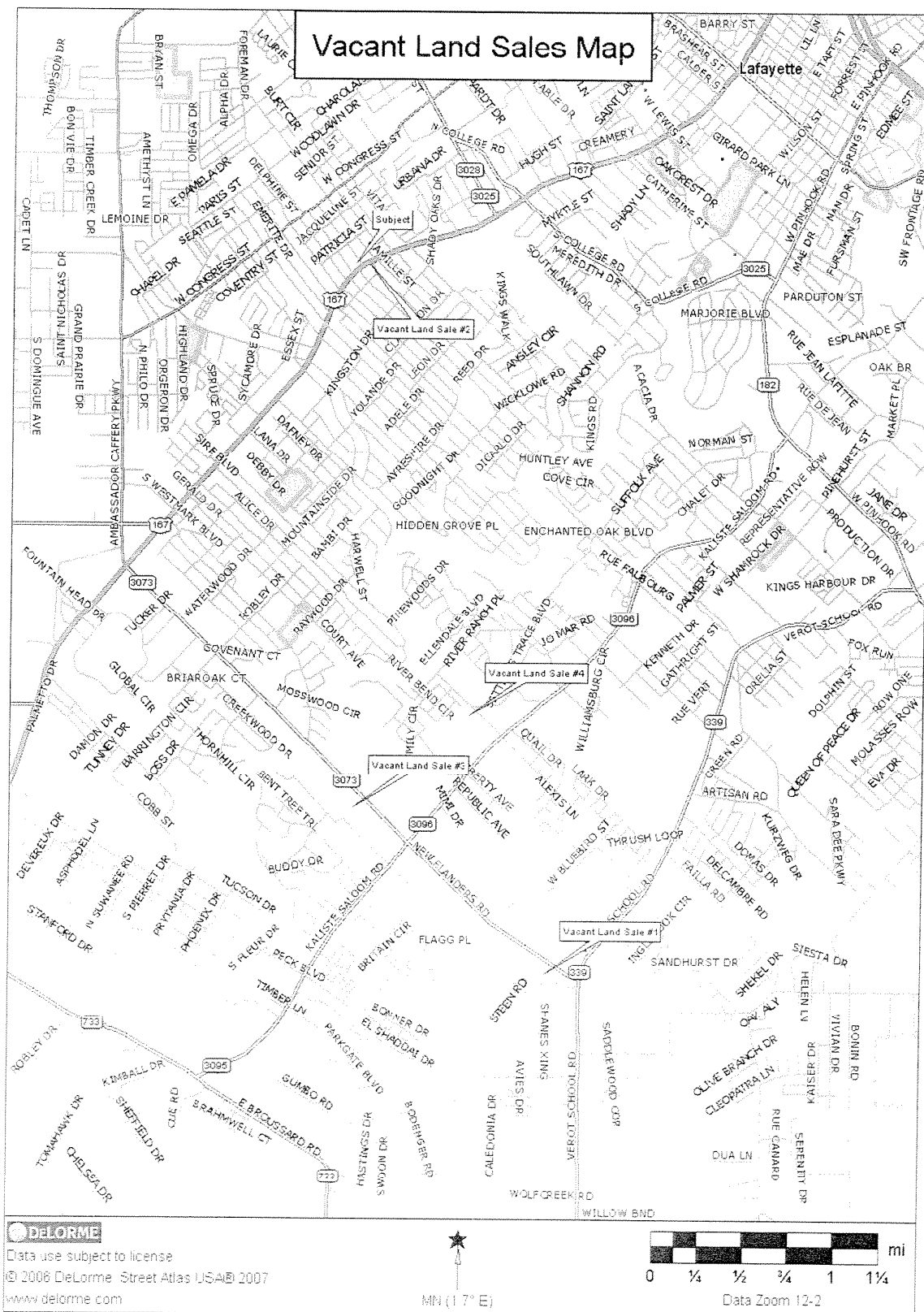
COST APPROACH

The cost approach is based on the principle of substitution, which holds that a typical purchaser would pay no more for a property than what it would cost to acquire a similar site and construct improvements of equal desirability or utility.

The first step in this procedure is estimation of land value by the sales comparison approach, comparing the property under appraisal with similar sites, which have recently sold. Adjustments are made to the sold properties for such characteristics as changes in market conditions since date of sale, location, and physical characteristics, reducing dissimilarities and arriving at an estimate of value for the subject. Reproduction cost of improvements is then estimated, depreciation is deducted, and depreciated cost of improvements is added to the land value estimate, resulting in an indication of value by the cost approach.

To estimate value of the site as if vacant, the site is compared with recent sales of similar properties. Data sources used in the research process included public records of the Parish Assessor and Clerk of Courts Offices, the appraisers' files and information obtained from area real estate agents, brokers and property owners. These comparable sales are reduced to a common denominator or unit of comparison, such as price per square foot or price per acre. Adjustments are then made for factors such as zoning, favorable financing, environmental characteristics, and other factors previously noted.

On the following page is a Vacant Land Sales Map which details the locations of comparable vacant land sales. Thereafter, we have included a tabular summary of those sales followed by a discussion of the analysis and comparison process. An adjustment grid is included in the final section of the land valuation analysis.



Comparable Sale #1

Property Type:	Commercial
Street:	Caffery, just north of Verot School Road
T-R-S:	T10S, R4E, Sec. 26

Conveyance Data

Record Number:	07-1069
Date of Sale:	January 2007
Vendor:	Deborah A. Boustany, et al
Vendee:	Ambassador 123, LLC
Legal Description:	
Sale Price:	\$2,086,890
Terms:	Cash

Property Data

Location:	Between Ambassador Caffery Parkway and Farrel Road, just south of and adjacent to Cordoba Office Park, Phase I
Site Area:	±6.388 Acres; 278,252sf
Site Dimensions:	320.97ff on Caffery and 778.62ff on Farrel
Shape:	Irregular/adequate
Topography:	Level and clear
Flood Zone:	Zone “X” FIRM panel 22055C0065G, dated January 19, 1996
Utilities:	Municipal
Zoning:	BG (General Business)
Streets:	5-lane concrete paved w/curb and gutter drainage and 2-lane asphalt w/open ditch drainage
Corner:	No – however, it has access from 2 streets
Highest and Best Use:	Commercial Development
Intended Use:	Cordoba Office Park – Phase II

Analysis

Unit Price:	\$326,689/acre; \$7.50/sf
Verification:	Courthouse Records

Comparable Sale #2

Property Type:	Vacant Land-Commercial
Street:	Johnston Street
T-R-S:	T10S, R4E, Sec. 54

Conveyance Data

Record Number:	04-53960
Date of Sale:	November 29, 2004
Vendor:	Jane Domengeaux Bayard
Vendee:	Midsouth Bank, N.A.
Legal Description:	Lot 136
Sale Price:	\$595,001
Terms:	Cash

Property Data

Location:	SF corner Johnston Street and Woodvale Avenue fronting Bell Ann
Site Area:	±1.242 Acres; ±54,101sf
Site Dimensions:	±201.23ff on Johnston Street, ±282.32ff on Woodvale Avenue, ±184.15 on Bell Ann
Shape:	Slightly irregular
Topography:	Level
Flood Zone:	Zone “X” FIRM panel 22055C0045G, dated January 19, 1996.
Utilities:	Municipal
Zoning:	BG (General Business)
Streets:	5-lane concrete w/curb and gutter drainage, 2-lane concrete w/curb and gutter drainage
Corner:	Yes
Highest and Best Use:	Commercial
Intended Use:	Future Bank facility

Analysis

Unit Price:	\$479,066/acre; \$11.00/sf
Verification:	Courthouse records

Comparable Sale #3

Property Type:	Vacant Land-Commercial
Street:	Ambassador Caffery
T-R-S:	T10S, R4E, Sec. 69

Conveyance Data

Record Number:	06-9757
Date of Sale:	March 9, 2006
Vendor:	Saloom 1990 Partnership, rep. by Ruth B. Saloom and Daniel Saloom
Vendee:	Kohl's Department Stores, Inc.
Legal Description:	Lot 8
Sale Price:	\$2,607,216
Terms:	Cash

Property Data

Location:	4310 Ambassador Caffery Parkway, across from Target and adjacent to Pizza Hut with frontage on Farrel Road
Site Area:	±7.677 Acres; 334,412sf
Site Dimensions:	see plat
Shape:	Somewhat Irregular
Topography:	Mostly level
Flood Zone:	Zone "X" FIRM panel 22055C0065G, dated January 19, 1996.
Utilities:	Municipal
Zoning:	BG (General Business)
Streets:	Ambassador Caffery is a 5-lane concrete paved road w/curb and gutter drainage – Farrel Road is 2-lane asphalt w/open ditch drainage
Corner:	No – however it has access from both streets
Highest and Best Use:	Retail
Intended Use:	Retail

Analysis

Unit Price:	\$339,610/acre; \$7.80/sf
Verification:	Courthouse records

Comparable Sale #4

Property Type: Vacant Land-Commercial
Street: Settlers Trace
T-R-S: T10S, R4E, Sec. 65

Conveyance Data

Record Number: 06-1887
Date of Sale: February 15, 2007
Vendor: Cornerstone Village South, Inc.
Vendee: East Bayou Baptist Church of Lafayette, Louisiana
Legal Description: Parcel C
Sale Price: \$1,658,764
Terms: Cash

Property Data

Location: SE side of Settlers Trace just southwest of Martial Avenue
between East Bayou Baptist and Cornerstone Village Nursing
Home
Site Area: ±5.44 acres; 236,966sf
Site Dimensions: 388ff on Settlers Trace, see plat
Shape: Nearly rectangular
Topography: Level
Flood Zone: Zone “X” FIRM panel 22055C0065G, dated January 19,1996
Utilities: Municipal
Zoning: BG (General Business)
Streets: 4-lane concrete w/curb and gutter drainage
Corner: No
Highest and Best Use: Commercial
Intended Use: Church expansion
Improvements: None

Analysis

Unit Price: \$7.00/sf; \$304,919/acre

Verification: Courthouse records

The section above shows 4 land sales that are considered similar to the subject site. To adjust the sales to the subject site, positive adjustments were made for inferior items and negative adjustments for superior items. These items that must be considered for adjustments are:

Property Rights, Conditions of Sale: All of the sales were transacted as fee simple interests and under normal conditions. Therefore, no adjustments were applied for these items.

Market Conditions: Market conditions are changing; prices of comparable vacant land are increasing. Sale 1 occurred less than 6 months ago and was not adjusted. Sale 2 occurred about 2.5 years ago and was adjusted 15%. Sale 3 and Sale 4 occurred about a year ago and were adjusted 8%.

Location: Location adjustments were estimated based on market relevant factors such as proximity to area amenities, accessibility, exposure, and quality of area development. Sale 1 is located on Ambassador Caffery Parkway near Verot School Road and is considered inferior. It was adjusted 15%. Sale 2 is located on Johnston Street almost directly across from the subject and is considered similar. It was not adjusted. Sale 3 is located on Ambassador Caffery Parkway just across from Target and is considered inferior. It was adjusted 10%. Sale 4 is located on Settlers Trace on the edge of River Ranch and is considered similar. It was not adjusted.

Corner Influence: Sites with corner influence tend to sell at a premium to those that do not due to the increased accessibility and exposure. This influence varies according to the intensity of the corner, with commercial properties on high intensity corners having the greatest premium and non-commercial properties on minor corners having the least. The subject is located on a corner. Sales 1 and 3 are not located on corners, but have access from 2 streets. They are considered inferior to the subject and were adjusted 10%. Sale 2 is located on a corner and has access from a third street. It is considered superior to the subject and was adjusted -10%. Sale 4 is not located on a corner and is considered inferior. It was adjusted 20%.

Size: Large sites typically sell for a lower unit price than smaller tracts due to the "volume discount" influence. Larger sites also have a smaller market due to their overall price. Sales 1, 3, and 4 are similar to the subject in size and were not adjusted. Sale 2 is much smaller than the subject and was adjusted -10%.

Flood Zone: In the case at hand, neither the subject nor any of the comparables are located within a flood zone and no adjustments were required.

Shape: Square or rectangular shaped parcels of land generally have greater utilization than irregular shaped properties. Adjustments were made to reflect this factor when the shape of a particular sale was considered to be restrictive to development. The subject is nearly rectangular. None of the four sales had a shape that would be detrimental to commercial development.

Topography: The topography of the sales was considered similar to the subject site as all were cleared and ready for construction at the time of purchase. No adjustments were therefore applied.

The adjustments discussed in the preceding paragraphs are summarized on the following page in the form of a Land Sales Adjustment Grid. Following the grid, the analysis is reconciled to provide my final indication of the subject land value.

Land Sales Adjustment Grid

	SUBJECT	SALE 1	SALE 2	SALE 3	SALE 4
LOCATION:	Arnould@Johnston	Caffery & Farrel	Johnston@Woodvale	Caffery & Farrel	Settlers Trace
SALE PRICE:		\$2,086,890	\$595,001	\$2,607,216	\$1,658,764
PROPERTY RIGHTS:	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple
ADJUSTMENTS:		0%	0%	0%	0%
ADJUSTED PRICE:		\$ 2,086,890	\$ 595,001	\$ 2,607,216	\$ 1,658,764
FINANCING TERMS:	Cash	Typical	Typical	Typical	Typical
ADJUSTMENTS:		0%	0%	0%	0%
ADJUSTED PRICE:		\$2,086,890	\$595,001	\$2,607,216	\$ 1,658,764
CONDITIONS OF SALE:	Normal	Normal	Normal	Normal	Normal
ADJUSTMENTS:		0%	0%	0%	0%
ADJUSTED PRICE:		\$2,086,890	\$595,001	\$2,607,216	\$ 1,658,764
DATE OF SALE:		January 2007	November 2004	March 2006	January 2006
ADJUSTMENTS:		0%	15%	8%	8%
ADJUSED PRICE:		\$2,086,890	\$684,251	\$ 2,815,793	1,791,465
LAND SIZE (SF):	210,907	278,252	54,101	334,412	236,966
LAND VALUE / SF:		\$7.50	\$12.65	\$8.42	\$7.56
OTHER ITEMS:					
LOCATION:		Inferior	Similar	Inferior	Similar
ADJUSTMENTS:		15%	0%	10%	0%
CORNER:	Yes	No	Yes	No	No
ADJUSTMENTS:		10%	-10%	10%	20%
SIZE (SF):	210,907	278,252	54,101	334,412	236,966
ADJUSTMENTS:		0%	-10%	0%	0%
FLOOD ZONE:	No	No	No	No	No
ADJUSTMENTS:		0%	0%	0%	0%
TOPOGRAPHY:	Average	Average	Average	Average	Average
ADJUSTMENTS:		0%	0%	0%	0%
SHAPE:	Nearly Rectangular	Similar	Similar	Similar	Similar
ADJUSTMENTS:		0%	0%	0%	0%
SUB-TOTAL ADJS.:		25%	-20%	20%	20%
ADJ. INDICATION:		\$9.38	\$10.12	\$10.10	\$9.07
RANGE OF VALUES:	\$9.07	per sf	to	\$10.12	Per sf
CONCLUSION:	\$9.50	per sf			

Land Valuation Conclusion

The four sales cited in the analysis provided a range of adjusted values from a low of \$9.07 per square foot to a high of \$10.12 per square foot. We believe that the subject belongs in the middle of the range. Our conclusion for the subject property is estimated at \$9.50 per square foot, which is well supported and bracketed by the sales. Therefore, with a site area of 210,907 square feet, the overall site value is calculated to be **\$2,003,616 ®**.

Rounded: \$2,000,000

IMPROVEMENT VALUATION

Cost factors used in the following analysis were obtained from referral to Marshall Valuation Service, a nationally recognized cost index publication.

The base square foot costs include the following:

1. Average architects' and engineers' fees, including plans, plan check and building permits and survey to establish building lines and grades.
2. Normal interest on building funds during period of construction and processing fee or service charge is included.
3. Sales taxes on materials are included
4. Normal site preparation including excavation for foundation and backfill.
5. Utilities from structure to lot lines figured for typical setback.
6. Contractor's overhead and profit, including job supervision, workmen's compensation, fire and liability insurance, unemployment insurance, etc. are included.

The Cost Approach estimates the cost to build improvements new as of the date of the appraisal. Reproduction cost is "the cost of construction at current prices of an exact duplicate or replica using the same materials, construction standards, design, layout, and quality of workmanship, embodying all the deficiencies, super-adequacies and obsolescence of the subject building." Replacement cost is "the cost of construction at current prices of a building having utility equivalent to the building being appraised but built with modern materials and according to current standards, design, and layout." Replacement cost is estimated in this analysis because of the buildings' age and condition.

Cost new for the building improvements was based on average to good quality Class D retail buildings. This cost information can be found in Sections 13 of the Marshall and Swift Valuation Service cost book. The cost schedule for the existing building is calculated on the following pages. The cost estimates will be calculated in three phases because of the difference in quality and level of completion of the different sections of the structure. The different sections will be named and defined.

Brother's

Class D Construction, Good Quality

Calculator Cost - Good Quality Class D Retail Building

Base Cost \$90.00

Refined Multipliers

Story Height Multiplier 1.170

Current Cost Multiplier 1.020

Final Square Foot Cost \$107.41

Building Size ±9,908 SF

Building Cost \$1,064,218

Add Items

Concrete Parking and Drives 120,000sf @ \$4.50/sf \$540,000

TOTAL BUILDING COST \$1,604,218

Retail Center(w/o Brother's)

Class D Construction, Average Quality

Calculator Cost - Average Quality Class D Retail Building

Base Cost \$60.00

Refined Multipliers

Story Height Multiplier 1.000

Current Cost Multiplier 1.020

Final Square Foot Cost \$61.20

Building Size ±42,013 SF

Building Cost \$2,571,195

Add Items \$0

TOTAL BUILDING COST \$2,571,195

Shell Structures

Class D Construction, Average Quality

Calculator Cost - Average Quality Class D Retail Building

Base Cost	\$20.00
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Refined Multipliers

Story Height Multiplier	1.000
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Current Cost Multiplier	1.020
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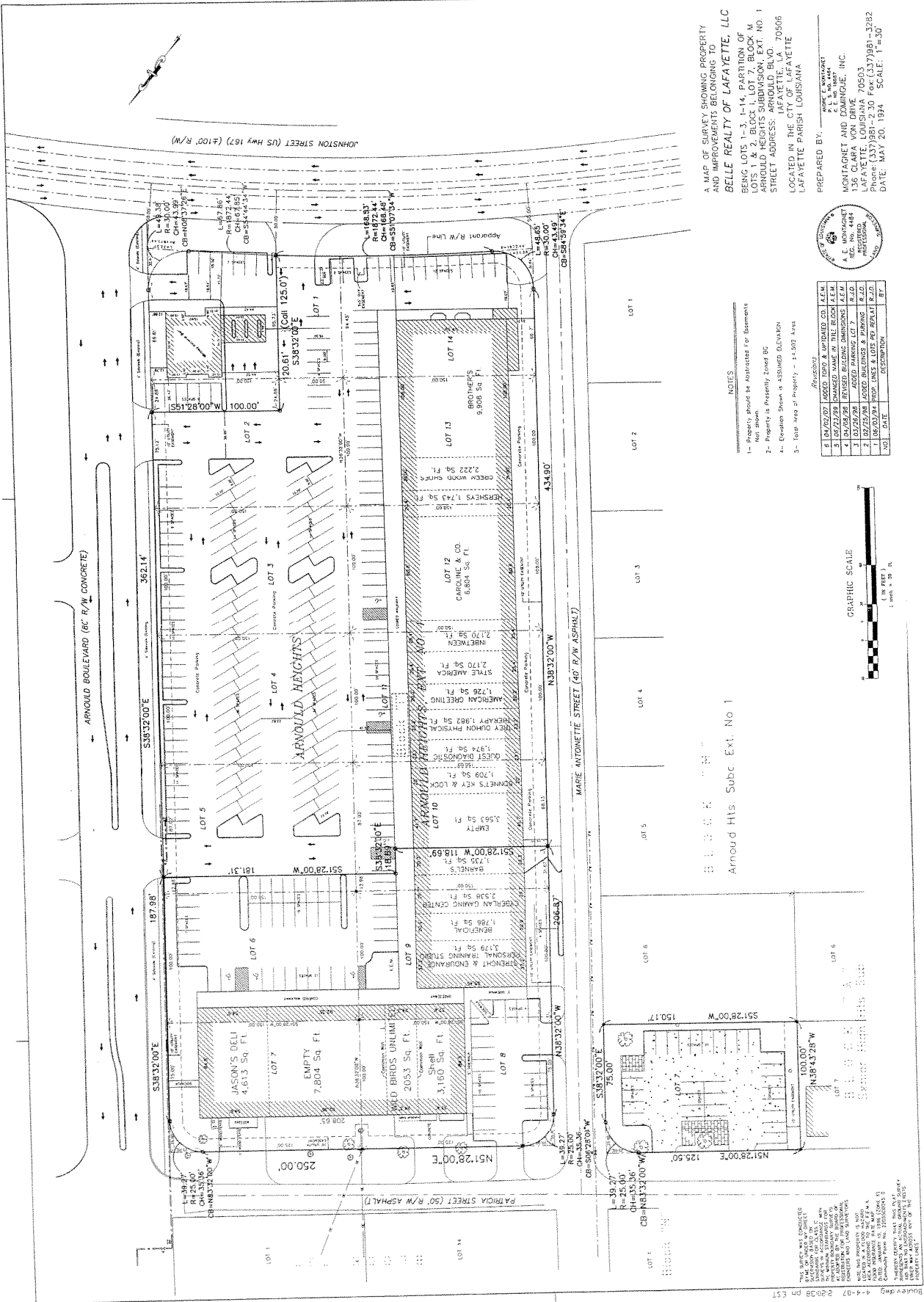
Final Square Foot Cost	\$20.40
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Building Size	±10,831 SF
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Building Cost	\$220,952
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Add Items	\$0
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TOTAL BUILDING COST	\$220,952
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A MAP OF SURVEY SHOWING PROPERTY AND IMPROVEMENTS BELONGING TO **BELLE REALTY OF LAFAYETTE, LLC** BEING LOTS 1-3, 1-14, PARTITION OF LOTS 1 & 2, BLOCK 1, LOT 7, BLOCK N, ARNOULD HEIGHTS SUBDIVISION, EXT. NO. 1, ARNOULD HEIGHTS, LAFAYETTE, LA 70506 STREET ADDRESS: 70506 ARNOULD HEIGHTS, LAFAYETTE, LA 70506 LOCATED IN THE CITY OF LAFAYETTE LAFAYETTE PARISH, LOUISIANA

PREPARED BY: **MONTAGNET AND DAMINGUE, INC.** 1306 CANAL STREET, SUITE 200 LAFAYETTE, LOUISIANA 70503 Phone: (337)981-2300 Fax: (337)981-3282 DATE: MAY 20, 1994 SCALE: 1"=30'

- NOTES**
- 1- Improvements should be indicated for Easements
 - 2- Property is Properly Zoned DC
 - 3- Elevation Shown is ASSUMED ELEVATION
 - 4- Total Area of Property - 14,500 sq. ft.

NO.	DATE	DESCRIPTION	BY
1	04/02/97	ADDED INFO & UPDATED CO. A.E.M.	A.E.M.
2	05/21/99	CHANGED NAME IN TITLE BLOCK A.E.M.	A.E.M.
3	03/29/99	REVISED BUILDING DIMENSIONS A.E.M.	A.E.M.
4	05/20/99	REVISED LOT DIMENSIONS A.E.M.	A.E.M.
5	05/20/99	REVISED LOT DIMENSIONS A.E.M.	A.E.M.
6	05/20/99	REVISED LOT DIMENSIONS A.E.M.	A.E.M.



ACCRUED DEPRECIATION

The next step in the Cost Approach is the estimate of depreciation. Depreciation is defined in the Real Estate Terminology Handbook as a “loss in utility and hence value from any cause. An effect caused by deterioration and/or obsolescence.” Accrued depreciation is the total of deterioration and obsolescence existing in a property whether it is physical, functional, or economic (external). These components of accrued depreciation are described further below.

PHYSICAL DEPRECIATION

Physical depreciation is loss of value from physical deterioration as evidenced by wear and tear, decay, dry rot, cracks, incrustation or structural defects. This form of depreciation may be curable or incurable depending on economics and feasibility of curing the problem immediately. These are further discussed as follows:

Curable Physical Depreciation

Curable physical depreciation, or deferred maintenance, includes all items, which are in immediate need of repair or replacement, and the cost to cure can be justified by the anticipated value or use of the curing. Thus, the measure of this type of depreciation is the cost of restoring the item to new condition. The curable physical depreciation bearing against the subject is considered to be the need for updating and repairing in some of the buildings of the facility. We observed no deferred maintenance to be remedied.

Incurable Physical Depreciation

Incurable Physical Depreciation refers to items, which have deteriorated as of the date of the appraisal, but are not economically feasible to correct. This is typically thought of as the general aging, wear and weathering to a structure. It pertains to all structural elements that were not listed in the physically curable category, such as the foundation, framing, etc., and applies to the entire cost less the components already treated as curable. Incurable physical deterioration can apply to either long-lived or short-lived items as follows.

Incurable Physical Short-Lived Items

These are items that are expected to have a remaining economic life shorter than that of the entire structure such as HVAC, roof, floor coverings, etc. This type of depreciation can be estimated by the Modified Age-Life Method (physical effective age / economic life). The economic lives of these items depend on the type and quality of each item. Typically, for properties such as the subject, the economic life is 10 to 20 years for the various items.

FUNCTIONAL OBSOLESCENCE

Functional obsolescence is the adverse effect on value resulting from defects in design. It can also be caused by changes that, over time, have made some aspect of a structure, material or design obsolete by current standards. The defect may be curable or incurable. To be curable, the cost of replacing the outmoded or unacceptable aspect must be at least offset by the anticipated increase in value. The measure of curable functional obsolescence is the cost to affect the cure. Curable functional obsolescence may be sub classified into:

1. Deficiency requiring additions, which is measured by the excess off the cost of the addition over the cost if installed new during construction.
2. Deficiency requiring substitution or modernization, which is measured by the cost of installing the modern fixture less the depreciated value, if any, of the existing fixture or component.
3. Superadequacy, which is measured by the current reproduction cost of the item plus any physical deterioration already charged less the cost to install a normally adequate or standard item. Superadequacy is curable only if curing it on the date of the appraisal is economically feasible; otherwise, it is considered incurable.

The subject has no discernable defects in design as described above; therefore, our conclusion is that there is no functional depreciation bearing on the property.

ECONOMIC OBSOLESCENCE

Economic Obsolescence, also commonly referred to as "External Obsolescence", is caused by changes external to the property. Such changes include changes in supply and demand and general property uses, zoning, financing, and national regulations. In addition, external obsolescence is caused by nonconformity within a neighborhood. Such changes include changes in supply and demand and general property uses, zoning, financing, and national regulations. In addition, external obsolescence is caused by nonconformity within a neighborhood. Based on general economic growth in the community and observations cited earlier in the Lafayette Area Analysis section of the report, we are projecting no economic obsolescence for the subject property.

SUMMARY OF COST APPROACH

The final estimate of value is arrived at by adding to the land value the depreciated cost of the proposed improvements.

The final estimate of value by the Cost Approach is therefore summarized as follows:

Cost New Improvements:		\$4,396,365
Physical Depreciation		
Curable:	\$0	
Incurable Short-Lived:	\$0	
Incurable Long-Lived:	\$2,198,182	
Total Physical Depreciation:	\$0	
Functional Obsolescence:	\$0	
Economic Obsolescence:	<u>\$0</u>	
Total Depreciation:		\$2,198,182
Value Indication:		\$2,198,182
Land Value:		\$2,000,000
Total Value Indication:		\$4,198,182
ROUNDED:		\$4,200,000

SALES COMPARISON APPROACH

Valuation of the subject by the Market or Sales Comparison Approach was accomplished by analysis and comparison of recent sales of similar type improved properties. The Sales Comparison Approach, like the Cost Approach, is based on the Principle of Substitution. In this approach, this principle implies that a prudent person will not pay more to buy a property than it will cost to buy a comparable substitute property.

In order to estimate the value of the subject property under the Sales Comparison Approach, research was conducted to disclose recent sales of improved properties with attributes similar to those of the subject. Data sources used in the research process included public records of the Parish Assessor and Clerk of Courts Offices, the appraisers' files and information obtained from area real estate agents, brokers and property owners.

These sales were then individually verified as to nature, status and sale conditions. The primary verification sources used was the vendor and/or vendee of each sale. When necessary, secondary verification sources were relied upon which included real estate agents, financing agents, or other individuals familiar with the sale.

Those comparable sales considered most similar and pertinent to the valuation of the subject are listed on the following pages in the form of individual data sheets. Labels on the Comparable Sales Map, attached following the data sheets illustrate the locations of these sales in relation to the subject.

Thereafter, we have included a tabular summary of the sales followed by a discussion of the analysis and comparison process. An adjustment grid is included in the final section of the Sales Comparison Approach.



RETAIL BUILDING COMPARABLE SALE NO. 1

208 West Willow

CONVEYANCE DATA

DATE OF SALE:	August 10, 2005
RECORDATION:	
VENDOR:	HK New Plan Exchange Property Owner III, LLC rep. by Steven Siegel (New York)
VENDEE:	Galileo Apollo VI Sub, LLC (Australia)
DESCRIPTION:	
CONSIDERATION:	\$3,100,000
TERMS OF SALE:	Cash

RETAIL BUILDING COMPARABLE SALE NO. 1 (CONT'D)

SITE DATA

LOCATION:	208 West Willow, Lafayette LA
AREA:	±9.5 acres; ±413,820sf
STREETS:	4-lane thoroughfare w/turning lane, with subsurface drainage
FLOOD ZONE:	Zone X FIRM panel 22055C0045G dated January 19, 1996
ZONING:	BG

IMPROVEMENTS DATA

DESCRIPTION:	1-story, Class D, brick and stucco on slab with built-up roof, sheetrock interior walls, suspended ceiling panels, fluorescent lights, packaged H/AC
AGE/QUALITY/COND.:	±30years/Average/Average
BUILDING SIZE:	±99,000 square feet
SITE IMPROVEMENTS:	Asphalt parking.

ANALYSIS

INDICATIONS:	Price PSF GBA	\$31.32
MARKETING TIME:	Less than 1 year	



RETAIL BUILDING COMPARABLE SALE NO. 2

3810 Ambassador Caffery Parkway, Lafayette LA

CONVEYANCE DATA

DATE OF SALE:	June 5, 2006
RECORDATION:	06-24161
VENDOR:	G.T. Pearson of Lafayette, LLC
VENDEE:	Pearson Lafayette, LLC
DESCRIPTION:	
CONSIDERATION:	\$2,695,000
TERMS OF SALE:	Cash

RETAIL BUILDING COMPARABLE SALE NO. 2 (CONT'D)

SITE DATA

LOCATION:	3810 Ambassador Caffery Parkway
AREA:	±1.935acres or ±84,302 square feet
STREETS:	Ambassador Caffery is 5-lane concrete paved with curb and gutter drainage
FLOOD ZONE:	Zone X FIRM panel 22055C0065G dated January 19, 1996.
ZONING:	BG

IMPROVEMENTS DATA

DESCRIPTION:	Class “C” steel frame on concrete slab with stucco and brick veneer, built-up roof, fluorescent lighting, carpet and ceramic tile floors.
AGE/QUALITY/COND.:	±8years effective/Good/Good
BUILDING SIZE:	±17,315 square feet
SITE IMPROVEMENTS:	Concrete parking with average landscaping.

ANALYSIS

INDICATIONS:	Price PSF GBA	\$155.65
HISTORY:		
MARKETING TIME:	less than 6 months.	



RETAIL BUILDING COMPARABLE SALE NO. 3

4519 West Congress Street, Lafayette LA

CONVEYANCE DATA

DATE OF SALE:	February 16, 2005
RECORDATION:	05-6606
VENDOR:	Ronald James Comeaux
VENDEE:	Northstar Properties, LLC
DESCRIPTION:	
CONSIDERATION:	\$545,000
TERMS OF SALE:	Cash

RETAIL BUILDING COMPARABLE SALE NO. 3 (CONT'D)

SITE DATA

LOCATION:	4519 West Congress Street
AREA:	±0.6964acres or ±30,336 square feet
STREETS:	West Congress is a 4-lane concrete paved street w/curb and gutter drainage
FLOOD ZONE:	Zone “X” FIRM panel 22055C0040G dated January 19, 1996.
ZONING:	BT (Transitional Business)

IMPROVEMENTS DATA

DESCRIPTION:	Class “S” on slab with asphalt shingle roof, brick and plaster exterior, painted sheetrock walls, suspended ceilings, recessed fluorescent lighting, and vinyl floors
AGE/QUALITY/COND.:	10 years effective/Average/Average
BUILDING SIZE:	±5,498 square feet
SITE IMPROVEMENTS:	Concrete parking with average landscaping.

ANALYSIS

INDICATIONS:	Price PSF GBA	\$99.13
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RETAIL BUILDING COMPARABLE SALE NO. 4

610 Guilbeau Road, Lafayette LA

CONVEYANCE DATA

DATE OF SALE:	November 1, 2004
RECORDATION:	04-49572
VENDOR:	Pacesetter Development, LLC
VENDEE:	PTL Properties, LLC
DESCRIPTION:	
CONSIDERATION:	\$710,000
TERMS OF SALE:	Cash

RETAIL BUILDING COMPARABLE SALE NO. 4 (CONT'D)

SITE DATA

LOCATION:	610 Guilbeau Road
AREA:	±0.56 acres or ±24,394 square feet
STREETS:	4-lane concrete w/curb and gutter drainage
FLOOD ZONE:	Zone X FIRM panel 22055C0045G dated January 19, 1996
ZONING:	B-1-L(Limited Business)

IMPROVEMENTS DATA

DESCRIPTION:	Class “S steel frame on concrete slab with stucco veneer, composition shingle roof, fluorescent lighting, carpet and tile floors.
AGE/QUALITY/COND.:	6 years/Good/Good
BUILDING SIZE:	±7,350 square feet
SITE IMPROVEMENTS:	Concrete parking and drive area.

ANALYSIS

INDICATIONS:	Price PSF GBA	\$96.60
MARKETING TIME:	N/A	

SUMMARY OF RETAIL BUILDING COMPARABLE SALES

Sale #	Date	Street	Effective Price	Building Square Feet	\$/SF GBA
1	08/05	208 W. Willow	\$3,100,000	±99,000	\$31.32
2	06/06	3810 Caffery	\$2,695,000	±17,315	\$155.65
3	02/05	4519 W. Congress	\$545,000	±5,498	\$99.13
4	11/04	610 Guilbeau	\$710,000	±7,350	\$96.60

UNIT PRICE COMPARATIVE ANALYSIS

As noted earlier, the “Sales Comparison” or “Comparative Analysis” technique is the most reliable of valuation methods where ample data is available, as is the case herein. The subject is valued on the following pages using the above-summarized comparable sales under the Quantitative method of comparative analysis.

The Quantitative Method involving mathematical adjustments to the sales and is done in the form of an adjustment grid.

The analysis is conducted on the basis of price per square foot of gross building area (including land), which is the typical method of comparison in the local market.

The comparable sales used herein for comparison purposes represent recent sales, which are considered comparable to the subject. In searching for office building sales, we tried to confine our search to those which exhibited characteristics considered comparable to the subject. Many sales were discarded during the research process, as they were considered so dissimilar that no supportable indication of value for the subject could be determined. Those that we have included, however, must still be adjusted to reflect differences between them and the subject.

The factors that must be considered are:

1. property rights conveyed
2. financing terms
3. conditions of sale
4. market conditions (time)
5. excess land
6. location
7. physical characteristics (quality, building size, age, condition, etc.)

This process is set out herein using an adjustment grid that is attached at the end of this section. Adjustments were made to the sales for items of difference between the sales and the subject. In order to adjust the sales to the subject, positive adjustments were applied to the sales for inferior factors, and negative adjustments for superior factors.

Property Rights

Since the subject is fee simple, all of the sales cited herein were transacted on a fee simple similar basis; therefore, no adjustments were made for property rights.

Financing

All sales were reported to be for cash or terms equivalent to cash, and no special financing conditions were noted that would have an influence on the sale price. Therefore, no cash equivalency adjustments were applied.

Conditions of Sale

All sales were reported to have occurred under normal conditions, and therefore no adjustments were applied.

Market Conditions (Date of Sale)

Market conditions have been improving for the past few years. Sale 1 occurred about 1.5 years ago and was adjusted 8%. Sale 2 occurred almost a year ago and was adjusted 5%. Sale 3 occurred about 2 years ago and was adjusted 10%. Sale 4 occurred about 2.5 years ago and was adjusted 12%.

Excess Land

The subject does not have any excess land area. All of the comparable sales were considered to be similar. Therefore, no adjustments were required.

Location

The subject property is located on Johnston Street @ Arnould. It is in a prime location. Sale 1 is located on W. Willow near the Evangeline Thruway. It is in an area of stagnant growth and was adjusted 40%. Sale 2 is located on Ambassador Caffery in an area of strong growth and heavy traffic flow. It is considered superior to the subject and was adjusted -10%. Sale 3 is located on W. Congress in an area of moderate growth and away from major commercial activity. It is considered inferior to the subject and was adjusted 20%. Sale 4 is located on Guilbeau Road in an area of good growth and busy traffic flow. It is considered inferior to the subject and adjusted 10%.

Quality

The improvements to the subject are considered to be of average to good quality construction. The subject also has ±10,831 of unfinished space. Adjustments will be made for that as well as overall quality. Sale 1 is average quality construction and was adjusted 10%. Sale 2 is good quality construction and was adjusted -15%. Sale 3 is good quality construction and was adjusted -15%. Sale 4 is good quality construction and was adjusted -15%.

Class

The class of a building will affect its cost; therefore, a higher class of construction would be expected to cost more. The subject is considered to be of Class 'D' construction. Sale 1 is Class "D" and was not adjusted. Sale 2 is Class 'C' and was adjusted -10%. Sales 3 and 4 are Class 'S' and were adjusted 10%.

Corner

A parcel of land situated on a corner has greater overall utility and generally commands a premium over non-corner parcels. The degree of adjustment is dictated by the intensity of the fronting streets, with greater adjustments required for high intensity locations and intersections that have a traffic signal. The subject is located on a corner. Sales 1, 2, and 4 have no corner influence and were adjusted 10%. Sale 3 is located on a corner and was not adjusted.

Building Size

The Gross Building Area (GBA) of the subject property is a total of ±62,752 SF. Smaller buildings would be expected to cost more per square foot than larger buildings. Sale 1 is larger than the subject and was adjusted 10%. Sale 2 is smaller than the subject and was adjusted -10%. Sales 3 and 4 are much smaller than the subject and were adjusted -20%.

Age / Condition

The subject is in good condition and effectively the subject's age is 20 years. Sale 1 is about 30 years old and in average condition. It was adjusted 40%. Sales 2 and 3 are 8-10 years and in good condition. Both were adjusted -25%. Sale 4 is about 6 years old and in good condition. It was adjusted -30%.

Flood Zone

The subject is located in Flood Zone "X" which is an area outside the 500-year flood plain. All four sales are also located outside the 500-year flood plain and were not adjusted.

Zoning

The subject property is located inside the limits of zoning ordinances and is zoned BG, General Business. Zoning is a very important factor in the use and utility of commercial properties such as the subject. All four sales are in the General Business Zone or a similar zoning area and were not adjusted.

Streets

The subject is situated on Johnston Street, a 5-lane thoroughfare. All four sales are located on similar roads or pathways and no adjustments were made.

The adjustment grid on the following page summarizes the adjustments made for the various items of differences between the sales and the subject office building.

RETAIL BUILDING SALES ADJUSTMENT GRID

ITEM	SUBJECT	SALE 1	SALE 2	SALE 3	SALE 4
LOCATION:	Johnston@Arnould	W. Willow	Caffery	W. Congress	Guilbeau
SALE PRICE:		\$3,100,000	\$2,695,000	\$545,000	\$710,000
PRICE/GBA (UNADJUSTED):		\$31.32	\$155.65	\$99.13	\$96.60
PROPERTY RIGHTS:	FEE	FEE	FEE	FEE	FEE
ADJUSTMENT:		\$0	\$0	\$0	\$0
ADJUSTED PRICE:		\$3,100,000	\$2,695,000	\$545,000	\$710,000
FINANCING TERMS:		CASH	CASH	CASH	CASH
ADJUSTMENT:		\$0	\$0	\$0	\$0
ADJUSTED PRICE:		\$3,100,000	\$2,695,000	\$545,000	\$710,000
CONDITIONS OF SALE:		NORMAL	NORMAL	NORMAL	NORMAL
ADJUSTMENT:		\$0	\$0	\$0	\$0
ADJUSTED PRICE:		\$3,100,000	\$2,695,000	\$545,000	\$710,000
DATE OF SALE:		August 2005	June 2006	February 2005	November 2004
ADJUSTMENT:		\$248,000	\$134,750	\$54,500	\$85,200
ADJUSTED PRICE:		\$3,348,000	\$2,829,750	\$599,500	\$795,200
LAND AREA (SF):	±210,907	±413,820	±84,302	±30,336	±24,394
EXCESS LAND (SF):		0%	0%	0%	0%
ADJUSTMENT:		\$0	\$0	\$0	\$0
ADJUSTED PRICE:		\$3,348,000	\$2,829,750	\$599,500	\$795,200
GROSS BUILDING AREA (SF):	±62,752	±99,000	±17,315	±5,498	±7,350
PRICE/GBA (ADJUSTED):		\$33.82	\$163.43	\$109.03	\$108.19
LOCATION:	Johnston@Arnould	W. Willow	Caffery	W. Congress	Guilbeau
ADJUSTMENT:		40%	-10%	20%	10%
QUALITY:	Average to Good	Inferior	Superior	Superior	Superior
ADJUSTMENT:		5%	-15%	-15%	-15%
CLASS:	D	Similar	Superior	Inferior	Inferior
ADJUSTMENT:		0%	-10%	10%	10%
CORNER:	Yes	No	No	Similar	No
ADJUSTMENT:		10%	10%	0%	10%
BUILDING SIZE:	±62,752	Inferior	Superior	Superior	Similar
ADJUSTMENT:		10%	-10%	-20%	-20%
AGE/CONDITION:	20/Good	Inferior	Superior	Superior	Superior
ADJUSTMENT:		40%	-25%	-25%	-30%
FLOOD ZONE:	Zone X	Similar	Similar	Similar	Similar
ADJUSTMENT:		0%	0%	0%	0%
ZONING:	BG	Similar	Similar	Similar	Similar
ADJUSTMENT:		0%	0%	0%	0%
STREETS:	5-Lane	Similar	Similar	Similar	Similar
ADJUSTMENT:		0%	0%	0%	0%
TOTAL ADJUSTMENT:		105%	-60%	-30%	-35%
VALUE INDICATION / SF GBA:		\$69.31	\$65.37	\$76.32	\$70.32
RANGE:	\$65.37	per SF GBA	to	\$76.32	per SF GBA

VALUE CONCLUSION: \$70.00 Per SF GBA

SALES COMPARISON APPROACH SUMMARY

Since none of the comparable sales is directly comparable to the subject in all respects, no single sale is relied upon. Rather, the adjusted indications are viewed as a group that brackets the subject value.

The comparable sales adjusted provide indications of \$65.37 to \$76.32 per square foot of gross building area. In our opinion, the subject falls at the middle of this range. Therefore, our value conclusion, which is reasonably bracketed by the market data herein, is \$70.00 per square foot of gross building area.

Based on the subject size of ±62,752 square feet of gross building area, our value conclusion by the Unit Price Comparison Method is as follows:

±62,752 SF x \$70.00/SF = \$4,392,640

ROUNDED \$4,400,000

INCOME CAPITALIZATION APPROACH

The Income Capitalization Approach provides an estimate of property value by capitalizing the present value of future income produced by the property. The process should reflect current economic conditions and investor criteria. The Income Approach is based on the Principles of Substitution and Anticipation when typical investment caliber properties are involved. The Principle of Substitution implies that a prudent lessee would pay no more to rent a given property if a substitute property of equal type and utility could be rented at a lower price. The Principle of Anticipation implies that the value of an income producing property may be expressed as the worth of anticipated future benefits.

The two most commonly utilized methods of processing net income into value are direct capitalization, where an overall rate is extracted directly from market sales in which the net income is known or closely estimated, and the discounted cash flow analysis, whereby anticipated future income streams and a reversionary value are discounted to net present value. In the valuation of the subject, it was our opinion that the discounted cash flow analysis was the most appropriate method to forecast an income stream that we believe will increase. The rising lease rates and strong occupancy rates in the Lafayette market recently makes that a reasonable assumption.

Discounted Cash Flow Analysis

The first step in the approach is to estimate the Potential Gross Income that the property is capable of producing. Expenses are then analyzed and deducted from the Gross Potential Income in order to arrive at a Net Annual Operating Income. An appropriate discount rate will then be applied to each years N.O.I., which results in a present value indication of the future stream of income. .

On the following pages, we will use rental data from the Comparable Improved Sales in the previous section to estimate a reasonable market rental rate. We will take into consideration that some of the leases in the subject have some time remaining. Therefore, the actual level of market rent will gradually be applied to the leased space of the subject.



COMPARABLE RETAIL BUILDING RENTAL #1

Picadilly side of The Boulevard

This retail center is across Arnould Boulevard from Brother's. It is approximately the same size as the subject and about the same age. Its condition is not as good. The average rental rate is \$9.00/sf. The tenants pay their own utilities and reimburse the center for their common area maintenance and other expenses. The occupancy rate is +90%. Most of the leases are held by long term tenants. The average rate is expected to rise over the next few years as leases are renegotiated and/or new tenants move in. New Leases will begin at ±\$12.00/sf.



COMPARABLE RETAIL BUILDING RENTAL #2

Grande Marche on Johnston

This retail center is on Johnston Street in the same location as the vacant Academy Sporting Goods Store. It is approximately the same size as the subject and about the same age. Its condition is not as good. The average rental rate is \$7.00/sf. The tenants pay their own utilities and reimburse the center for their common area maintenance and other expenses. The occupancy rate is +90%. Most of the leases are held by long term tenants. The average rate is expected to rise over the next few years as leases are renegotiated and/or new tenants move in. We were not told about the level of new lease rates. We believe that the reason lease rates are lower than others is that the owner has not done much upgrading and renovating of the property.



COMPARABLE RETAIL BUILDING RENTAL NO. 3

Time Plaza on Johnston Street

This retail center is on Johnston Street across from the Ridge Road intersection. It is approximately the same size as the subject and is newer. It is in good condition. The average rental rate is \$14.00/sf. The tenants pay their own utilities and reimburse the center for their common area maintenance and other expenses. The occupancy rate is +90%. Most of the leases are held by long term tenants. The average rate is expected to rise over the next few years as leases are renegotiated and/or new tenants move in. We were not able to determine new lease rates. We believe that this retail center commands higher rates because of its quality and proximity to the intersection of Johnston Street and Ambassador Caffery Parkway.

ESTIMATE OF GROSS POTENTIAL INCOME

Two types of rent income are typically associated with this type of property. These are Contract Rent and Market Rent. The Dictionary of Real Estate Appraisal, published by the American Institute of Real Estate Appraisers, defines these as follows:

Contract Rent - *The actual rental income specified in a lease.*

Market Rent - *The rental income that a property would most probably command in the open market; indicated by current rents paid and asked for comparable space as of the date of the appraisal.*

As indicated in the proceeding pages, rental rates for the comparables range from a low of \$7.00/SF to a high of \$14.00/SF on an annual rent basis. In comparing these properties and these rental rates to the subject property, it was felt that an annual per square foot rental basis was the reasonable and accurate means in which to estimate potential income for the subject property.

It is critical to demonstrate the various differences in the comparable rental properties in order to estimate a current market rate for the subject property. Part of our assignment is to determine the potential market rent for the subject property in order to appraise its market value. As was stated in the review of comparable rental properties, some are in better locations and in better condition than others.

Most retail centers in the Lafayette market operate on a triple net lease arrangement (where the tenant is responsible for all expenses, such as utilities, maintenance, insurance, etc.). All comparable rentals are also leased under those conditions. The consensus market rent value will be used to appraise the market value of the subject.

Comparable Rental #3 (Time Plaza) is in a better location and is somewhat newer than the subject and should command higher rental rates than the subject. The subject is in slightly better condition than the Picadilly side of The Boulevard (Rental #1) and should command higher rental rates. Our investigation shows that the current average rental rate for the subject is approximately \$10.91/sf plus the common area maintenance fee and insurance and tax reimbursements. Therefore, we will consider that the current rental structure for the subject is at or near market levels. We will show reasonable increases over the next several years in our Discounted Cash Flow Analysis later in this report. Additionally, the plan for the subject includes building out the vacant spaces discussed earlier in this report. We will show the Potential Rental Income for theses spaces at a higher rate as the spaces will probably be taken over by new tenants or negotiated additional space for current tenants. In the Discounted Cash Flow Analysis, current expenses will be used in the first year and then will show a reasonable increase as well over the next several years. **The income year for each tenant will begin on the valuation date (in the year at the head of each column on the DCF) of this report and will end 12 months later.**

CAPITALIZATION RATE ANALYSIS

Capitalization is the process that translates net income into an indication of value. The rate represents a relationship between income and value as observed by market criteria. The selection of an appropriate capitalization rate is one of the most critical steps in the Income Approach, since a light variance in the rate can have a substantial effect upon the value indication.

In the case of a Discounted Cash Flow Analysis, the cap rate is used to capitalize the projection of net income at the final year of the holding period. This rate is typically referred to as the “terminal cap rate” or “reversion rate”. It represents a relationship between income and value as observed by market criteria. Appraiser industry publications indicate that terminal cap rates typically average from 35 to 150 basis points higher than going-in rates due to the added risk of uncertainty and aging.

In the Mortgage-Equity Band of Investment Method of estimating a cap rate, consideration is given to the availability of mortgage financing as well as equity requirements. Capital recapture is provided through amortization. The method recognized the market dependency on financing and the predisposition of investors to measure the equity cash flow (dividends) available on the equity investment.

Our research indicates typical mortgage rates at 8.25%, and a loan to value ratio of 80% based on an amortization term of 20 years. This results in an annualized constant of 0.1022. The rate for the equity portion should represent the minimum rate necessary to attract investment capital, and should be higher than the mortgage rate since it is first in line of exposure. The rate is influenced by several factors including risk, alternative investments, market attitudes, etc. Current rates for alternative investments are noted below, compiled from U.S. Financial Data, April 27, 2007 edition:

Long Term Treasury:	4.82%
Aaa Corporate Bonds:	5.41%
Baa Corporate Bonds:	6.33%

A property such as the subject would be expected to reflect a higher rate than the more conservative and liquid investments listed above. Considering an additional 3-5% for risk and relative illiquidity, the equity rate is estimated at 16%. Based on these factors, the cap rate is calculated as follows:

Mortgage:	.80	x	0.1022	=	0.0758
Equity:	.20	x	0.1600	=	<u>0.0320</u>
Overall Rate:					0.1078
ROUNDED:					11.0%

As was stated above, the reversion rate or terminal cap rate should be higher than the current cap rate. We have determined that 12% would be a reasonable reversion rate to be used in cell I-40 of the Discounted Cash Flow Analysis on the following page. To determine the present value of the future income stream in the DCF, we have calculated for discount rates of 10%, 12%, and 14%. Based on the subject property and current market conditions, we estimate the appropriate discount rate to be 12%.

DISCOUNTED CASH FLOW ANALYSIS						
	2007	2008	2009	2010	2011	2012
INCOME						
Brother's	\$148,620	\$148,620	\$148,620	\$153,079	\$157,671	\$162,401
Greenwood Shoes	\$24,441	\$24,441	\$25,174	\$25,929	\$26,707	\$27,509
Hershey's	\$20,915	\$20,915	\$20,915	\$21,542	\$22,189	\$22,854
Caroline & Co.	\$78,844	\$78,844	\$81,209	\$83,646	\$86,155	\$88,740
InBeTwenz	\$26,039	\$26,039	\$26,820	\$27,625	\$28,454	\$29,307
Style America/Regis Corp.	\$30,705	\$30,705	\$30,705	\$31,626	\$32,575	\$33,552
American General	\$23,668	\$23,668	\$23,668	\$24,378	\$25,109	\$25,863
Duhon Physical Therapy	\$28,243	\$28,243	\$29,090	\$29,963	\$30,862	\$31,788
Quest Diagnostics	\$31,584	\$32,632	\$33,507	\$34,513	\$35,548	\$36,615
Bonnet's	\$19,165	\$19,740	\$20,332	\$20,942	\$21,570	\$22,217
Vacant	\$60,571	\$60,571	\$60,571	\$62,388	\$64,260	\$66,188
Barnel's	\$22,554	\$23,231	\$23,928	\$24,645	\$25,385	\$26,146
Cyberian	\$30,633	\$31,552	\$32,499	\$33,474	\$34,478	\$35,512
Beneficial Louisiana, Inc.	\$25,939	\$25,939	\$25,939	\$26,717	\$27,519	\$28,344
Strength and Endurance	\$39,736	\$42,915	\$45,594	\$49,273	\$49,273	\$49,273
Vacant	\$60,040	\$60,040	\$60,040	\$60,040	\$61,841	\$63,696
Wildbirds	\$30,794	\$31,718	\$32,669	\$33,649	\$34,659	\$35,699
Vacant	\$145,749	\$145,749	\$145,749	\$145,749	\$150,121	\$154,625
Jason's Deli	\$62,275	\$62,275	\$62,275	\$62,275	\$64,143	\$66,068
Potential Rental Income	\$910,515	\$917,736	\$929,305	\$951,453	\$978,519	\$1,006,396
Occupancy Rate	82%	87%	90%	90%	91%	91%
Effective Rental Income	\$746,622	\$798,430	\$836,375	\$856,308	\$890,452	\$915,821
EXPENSES						
Cleaning and Maintenance	\$43,815	\$44,691	\$45,585	\$46,497	\$47,427	\$48,375
Insurance	\$37,214	\$37,958	\$38,717	\$39,492	\$40,282	\$41,087
Miscellaneous	\$3,000	\$3,060	\$3,121	\$3,184	\$3,247	\$3,312
Management and Professional Fees	\$108,393	\$110,561	\$112,772	\$115,028	\$117,328	\$119,675
Office Supplies and Services	\$19,150	\$19,533	\$19,924	\$20,322	\$20,729	\$21,143
Taxes	\$34,463	\$35,152	\$35,855	\$36,572	\$37,304	\$38,050
Utilities	\$8,875	\$9,053	\$9,234	\$9,418	\$9,607	\$9,799
Buildout Cost of Line #20 and #22 above	\$500,000	\$0	\$0	\$0	\$0	\$0
Total Operating Expenses	\$754,910	\$260,008	\$265,208	\$270,513	\$275,923	\$281,441
Net Operating Income	-\$8,288	\$538,422	\$571,166	\$585,796	\$614,529	\$634,379
Reversion					\$5,286,495	
Discount Rate	10.00%					
PV Factor	0.909090909	0.826446281	0.751314801	0.683013455	0.620921323	
Present Value @10.00%	-\$7,534	\$444,977	\$429,126	\$400,106	\$3,664,072	
Discount Rate	12.00%					
PV Factor	0.892857143	0.797193878	0.711780248	0.635518078	0.567426856	
Present Value @ 12.00%	-\$7,400	\$429,227	\$406,545	\$372,284	\$3,348,400	
Discount Rate	14.00%					
PV Factor	0.877192982	0.769467528	0.674971516	0.592080277	0.519368664	
Present Value @ 14.00%	-\$7,270	\$414,298	\$385,521	\$346,838	\$3,064,807	
Net Present Value Income @10.00%		\$4,930,746				
Net Present Value Income @ 12.00%		\$4,549,055				
Net Present Value Income @ 14.00%		\$4,204,194				

ESTIMATE OF MARKETING TIME

Because of the many factors that may be involved in a sale, marketing periods for properties such as the subject are difficult to project based strictly on analysis of sales data. For example, many properties are never placed on the market but are purchased through inner industry contacts. In other cases, properties may be put up for sale with little advertisement or promotion, or may not be listed with an active agency. There have also been many cases where asking prices were set too high initially, therefore deterring interest and unduly prolonging the marketing period.

In summary, historical data does not necessarily provide a true picture of marketing times for a property that is aggressively and professionally marketed. Therefore, we have also relied upon information obtained from area real estate brokers experienced in the marketing and sale of this type of property. Agents that were consulted indicated that typical properties could be expected to sell in 12-18 months in the current market, given that the asking price was competitive from the onset and that the property was advertised and marketed aggressively.

Based on this information, we have estimated a marketing period of 12-18 months, which is also consistent with the term "exposure time"; i.e., the length of time the subject property would have been exposed for sale in the market had it sold at the market value concluded in the analysis, as of the date of this valuation.

RECONCILIATION AND FINAL VALUE ESTIMATE

We have valued fee simple interest of the subject property by the application of the three traditional approaches to value: The Cost Approach, The Sales Comparison Approach, and the Income Approach. The value indications are as follows:

Cost Approach	\$4,200,000
Sales Comparison Approach	\$4,400,000
Income Approach	
Direct Capitalization	\$4,500,000

The Cost Approach reflects the value of the subject property, based upon an estimate of the replacement cost of the subject property, less any accrued depreciation and obsolescence, plus the estimated value of the land. This approach is an excellent method of estimating the value of a property when the improvements are new or nearly new, and when they represent the highest and best use of the site.

The Sales Comparison Approach involves the comparison and analysis of sales of similar properties to the subject property. The strength of this approach is that, in most cases, it represents the interaction of buyers and sellers in the market. Unfortunately, in this case, the relatively scarcity of sales of retail buildings of this type and size makes it very difficult to accurately determine the market value of the proposed building using the Sales Comparison Approach.

The Income Capitalization Approach reflects the value of the subject property, based upon its income producing capabilities and an analysis of investment requirements prevailing as of the date of valuation. This approach is the most relevant in the appraisal of most income producing properties, because it most closely reflects the investment rationale and strategies of typical buyers.

In the final analysis, we considered the Income Capitalization Approach and the Sales Comparison Approach indications to provide primary emphasis, with the Cost Approach indication to provide collateral support for our conclusion. Based on the above reconciliation of all the particular analyses and conclusions presented within the body of this report, we are of the opinion that the Market Value of the fee simple interest of the subject property as of May 1, 2007, as is, and subject to the assumptions and limiting conditions attached, was:

FOUR MILLION FIVE HUNDRED THIOUSAND DOLLARS

\$4,500,000

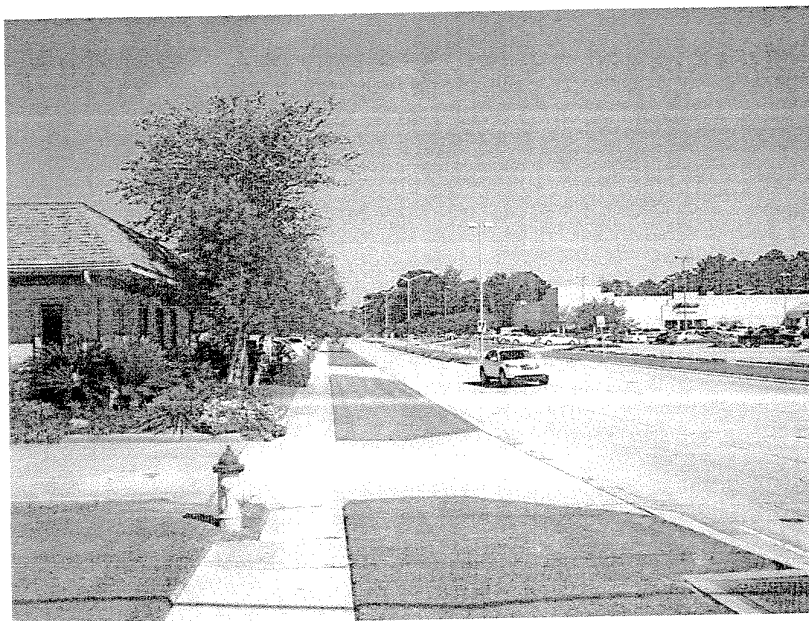
ADDENDA



Westward View on Johnston Street



Eastward View on Johnston Street



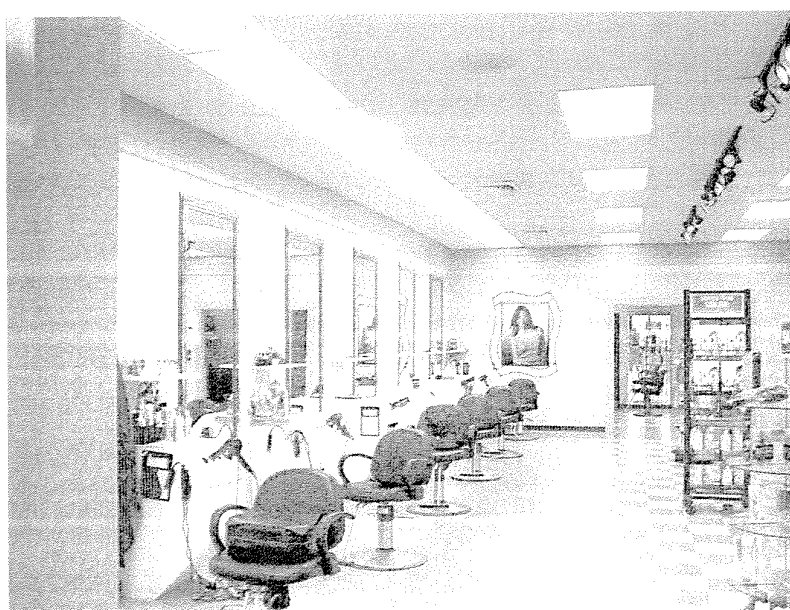
Northward on Arnould Boulevard



Typical View inside Brother's



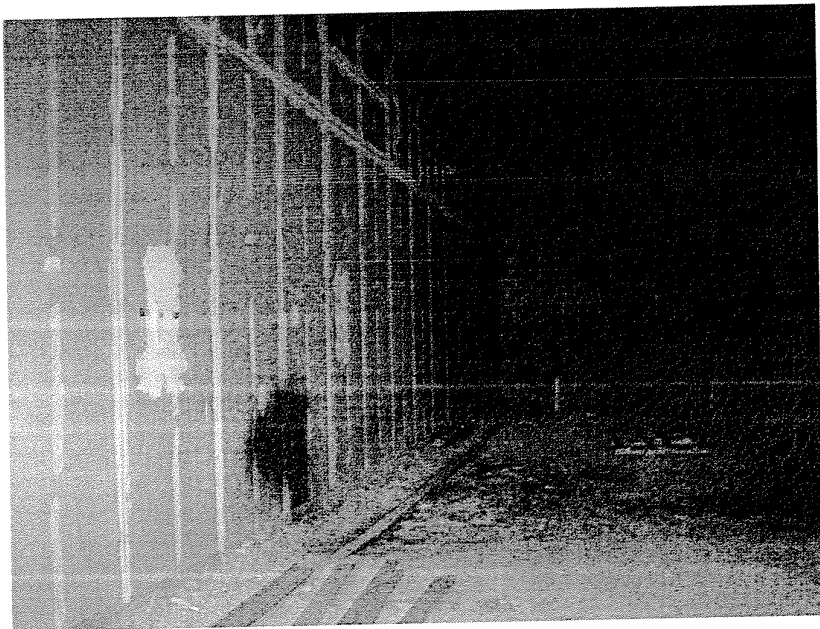
Typical View inside Caroline & Co.



Typical View inside Style America



Typical View inside Jason's Deli



View showing portion of shell to be built out for future tenants
(dirt floor, bare sheetrock walls, and trusses in ceiling)

Flood Zone Map



Dark gray shading indicates areas of flood hazard

Subject: RE: On the Boulevard Shopping Center (Brother's)
Date: 4/30/2007 10:13:28 AM Central Daylight Time
From: dickey@pendelgroup.com
To: LASmaiCCIM@aol.com
CC: adam@lawybecker.com, cabdalla@brothersontheblvd.com

available.

No problem, that will work. You need to contact Adam Abdalla, Brother's son, at Becker & Associates, 233-1987. He can give you whatever information you need and will schedule your inspection of the property if need be. The following is Protective's Appraisal Specification Requirements.

APPENDIX

- Letter from the appraiser authorizing the Lender to rely on the appraisal and its value conclusions

Please call me if you need anything further

RICHARD P. "DICKIEY" DUPUIS, CCIM, CFCI
BENNET Mortgage Company
COMMERCIAL MORTGAGE BANKERS
P.O. Box 81856
Tulsa, OK 74108-1856
DIRECT LINE 918.963.8480
FAX 918.981.8922
CELL 918.255.8472
EMAIL: RICHIEY@BENNETGROUP.COM
WWW.BENNETGROUP.COM

Attn: Steve Hansen

Belle Realty Expense Report
Fiscal Year 2006

Advertising	\$ 2,800.00			
Automobile	\$ 3,200.00			
Depreciation	\$ 88,178.15			
Dues and Fees	\$ 1,006.46			
Entertainment/Dining	\$ 1,775.00			
Insurance	\$ 37,214.47	actual		
Interest Expense	\$ 53,758.27	interest on loan		
Legal Fees	\$ 6,072.06			
Maintenance	\$ 10,062.39			
Management Fees	\$ 88,000.00	could be much lower		
Miscellaneous	\$ 3,000.00			
Office Supplies	\$ 1,617.65			
Painting	\$ 247.50			
Parking Lot	\$ 22,430.00	maintenance and lawncare		
Postage	\$ 163.20			
Professional	\$ 4,321.00	cpa fees		
Repairs	\$ 8,931.58			
Subscriptions	\$ 1,489.18			
Supplies	\$ 3,300.17			
Taxes Property	\$ 34,463.23	actual		
Telephone	\$ 2,300.00			
Travel	\$ 1,500.00			
Utilities	\$ 8,875.00	approximately		
Waste Disposal	\$ 2,145.03			
	\$ 396,850.34			

Belle Realty of Lafayette LLC
Rent Roll as of 3/12/07

Customer	Phone	Square Footage	Rent PSF	CAM	Taxes and Insurance	Commencement Date	Lease Term	Term Date
Brother's	984-7749	9,908						
Greenwood Shoes	984-7001	2,222	\$9 yrs 1-3, \$8.50 yrs	\$1.00	\$0.60	6/1/2003	60 months	5/30/2008
Hershey's	981-1701	1,743	\$10	\$1.50	\$0.60	4/1/2007	36 months	3/31/2010
Caroline and Co	984-3263	6,804	\$9	\$1.25	\$0.75	7/1/2006	36 months	6/30/2009
inBetweenz	984-6101	2,170	\$9.50 yr 1, \$10 yr 2	\$1.75	\$0.75	6/1/2006	39 months	11/30/2009
Style America/Regis Corp	988-2600	2,170	12.65	\$1.00	\$0.50	4/1/2006	36 months	3/31/2009
American General	984-8693	1,769	11.88	\$1.00	\$0.50	11/1/2004	60 months	10/31/2009
Duhon Physical Therapy	759-1201	1,982	\$12	\$1.75	\$0.60	2/1/2007	24 months	1/31/2009
Quest Diagnostics	938-2002	1,974	\$14	\$1.50	\$0.50	5/1/2006	24 months	4/30/2007
Bonnet's	233-6644	1,709	\$9.50	\$1.12	\$0.63	6/1/2006	12 months	7/31/2007
Vacant		3,563						
Barnett's	931-6895	1,735	\$11	\$1.50	\$0.50	4/1/2007	3 months	6/30/2007
Cyberlan	938-6788	2,538	\$10.32	\$1.25	\$0.50	10/1/2005	12 months	9/30/2006
Beneficial Louisiana, Inc.	933-0012	1,789	\$12.50	\$1.25	\$0.75	1/1/2005	60 months	12/31/2010
Strongth and Endurance		3,179	\$10.50, \$11.50, \$12.50, \$13.50	\$1.75	\$0.25	2/1/2007	48 months	1/31/2011
Vacant Ditt Floor		3,160						
Wildbirds	983-2474	2,053	\$13.00	\$1.50	\$0.60	6/1/2004	36 months	5/31/2007
Vacant Ditt Floor		7,671						
Jason Dell	216-0194	4,613	\$11 yrs 1-5, \$12 yrs 6-10	\$1.00	\$0.59	1/1/2000	120 months	10/31/2010
		62,752						

Edward S. Caldwell III
3/12/07

PROFESSIONAL QUALIFICATIONS

LAWAYNE A. SIEFERMAN, MAI, CCIM

Louisiana State Certified General Real Estate Appraiser #G0052

Education

University of Southwestern Louisiana, Bachelor of Science in Psychology.

Special Training

- American Institute of Real Estate Appraisers
 - Real Estate Appraisal Principles A1-1/8-1, Basic Valuation Procedure 1A-2, Residential Valuation 8-2, Capitalization Theory & Techniques 1B-A & 1B-B, Case Studies in Real Estate Valuation 2-1, Valuation Analysis & Report Writing 2-2, Standards of Professional Practice 2-3/8-3, Industrial Valuation - 007, Computer Assisted Investment Analysis - 006
- Commercial Investment Real Estate Institute
 - Financial Analysis for Commercial Investment Real Estate, Market Analysis for Commercial Investment Real Estate, Decision Analysis for Commercial Investment Real Estate

Experience

- Founder and President of Ashcraft, Inc., 1977-1982.
- Real Estate License with Southwestern Realty Services, 1983.
- Associate Appraiser for Godshall & Co., Inc., January 1984.
- Senior Appraiser for Appraisal Analysts Inc., January 1986.
- President, Associated Appraisers of Lafayette, Ltd. April 1988.
- President, Acadian Place Properties, Ltd., December 1990

Professional Organizations

- Certified Commercial Investment Member (CCIM) #6294
- Member Appraisal Institute (MAI) #8093
- National Association of Realtors, Lafayette Board of Realtors.

Appraisal Experience

- | | |
|--|--|
| Inpatient/Outpatient Hospital Facilities | Inpatient/Outpatient Psychiatric Hospital Facilities |
| Medical Office Buildings | Inpatient/Outpatient Assisted Care Facilities |
| Office Buildings | Retail Buildings |
| Light Industrial Buildings | Light Manufacturing Buildings |
| Apartment Complexes | Hotel and Motel Properties |
| Distribution Truck Terminals | Rice Mill, Rice Dryer and Rice Storage Facilities |
| Special Purpose Properties | Various Vacant Land and Proposed Projects |

Recent Appraisal Clients

- | | |
|---------------------------------|--------------------------------------|
| Whitney National Bank | Iberia Bank |
| Hibernia National Bank | Rayne State Bank |
| Home Savings Bank | Ruston Building and Loan Association |
| Sabine State Bank | Camelot Healthcare, LLC |
| United States Postal Service | International Land Services, Inc. |
| Land Lease, Inc. | Calcasieu Parish Police Jury |
| AGI Industries, Inc. | Hunting Oilfield Services |
| Supreme Rice Mill, Inc. | Columbus Trading Company |
| Air Liquide America Corporation | Katten, Muchin and Zavis |
| Heller and Frisone, Ltd. | Braun and Rivkin, Ltd. |

Note: As of the date of this report, I have completed the requirements of the continuing education program of the Appraisal Institute.



MEMBERSHIP CERTIFICATE

This Certifies That

Larwayne A. Sieferman

was admitted to membership in the American Institute of Real Estate Appraisers as an MAI Member (8093) on the 3rd day of April, 1989 and by virtue of the unification of the American Institute of Real Estate Appraisers and the Society of Real Estate Appraisers has become an

MAI Member

in the Appraisal Institute and is entitled to all the rights and privileges of membership subject only to the limiting conditions set forth from time to time in the Bylaws and Regulations of the Appraisal Institute.

In Witness Whereof, the Board of Directors of the Appraisal Institute has authorized this certificate to be signed in its behalf by the President.

[Signature]



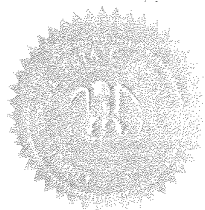
State of Louisiana Real Estate Appraiser License

Class: **Certified General**

Having complied with the license requirements set forth in R.S. 47:11, Chapter 1, Article 1, and the rules and regulations of the Louisiana Real Estate Appraiser Board, the Louisiana Real Estate Appraiser Board has granted a

LARWAYNE A. SIEFERMAN

In testimony whereof, this license has been issued by the authority of the Louisiana Real Estate Appraiser Board.



License Number: 000022

Expires: August 31, 1991

Renewal: December 31, 1991

Signature: *[Signature]*

Signature: *[Signature]*

PROFESSIONAL QUALIFICATIONS

STEVEN C. LARSON

Louisiana Licensed Real Estate Appraiser Trainee #T1967

Education

Louisiana Tech University, Bachelor of Arts in Social Studies Education
University of Southern Mississippi, Master of Arts in Educational Administration

Special Training

Real Estate Appraisal Principles and Procedures, Uniform Standard of Professional Appraisal Practice (USPAP), Basic Income Capitalization, General Applications, and Sales Comparison Approach to Small, Mixed-Use Properties

Experience

Logging Engineer, NL Industries
Classroom teacher, Iberia Parish School System
High School Principal, Iberia Parish School System
Appraiser Trainee, Associated Appraisers of Lafayette, Ltd.

Appraisal Experience

Office Buildings	Day Care Facilities
Medical Office Buildings	School Gymnasium
Community Health Clinic	Aircraft Hangar
Retail Buildings	Residential Subdivisions
Light Industrial Buildings	Various Vacant Properties
Special Purpose Properties	Various Proposed Projects
Motel Properties	

Recent Appraisal Clients

Iberia Bank	Teche Federal Bank
Hibernia Bank	Bank of Sunset
Regions Bank	Republic National Bank of Texas
American Bank & Trust	Capital One
United Way	Bank of Erath
Bank of New Orleans	Community First Bank
American Bank & Trust	Rayne State Bank
Lafayette Chamber of Commerce	Gulf Coast Bank
Farmers-Merchant Bank & Trust	

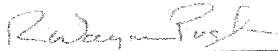
State of Louisiana
Real Estate Appraiser Trainee License

Having complied with the license requirements as set forth in in R.S. 1950 Title 37, Chapter 31, and Amendatory Acts, and the Real Estate Appraisers Board Rules and Regulations, a Real Estate Appraiser Trainee License is hereby granted to

STEVEN C. LARSON

In Testimony Whereof, This license has been issued by the Authority of the Louisiana Real Estate Appraisers Board.

Period Covered: January 1st 2007 Through December 31st 2008


Chairman

License Number: T1965


Secretary